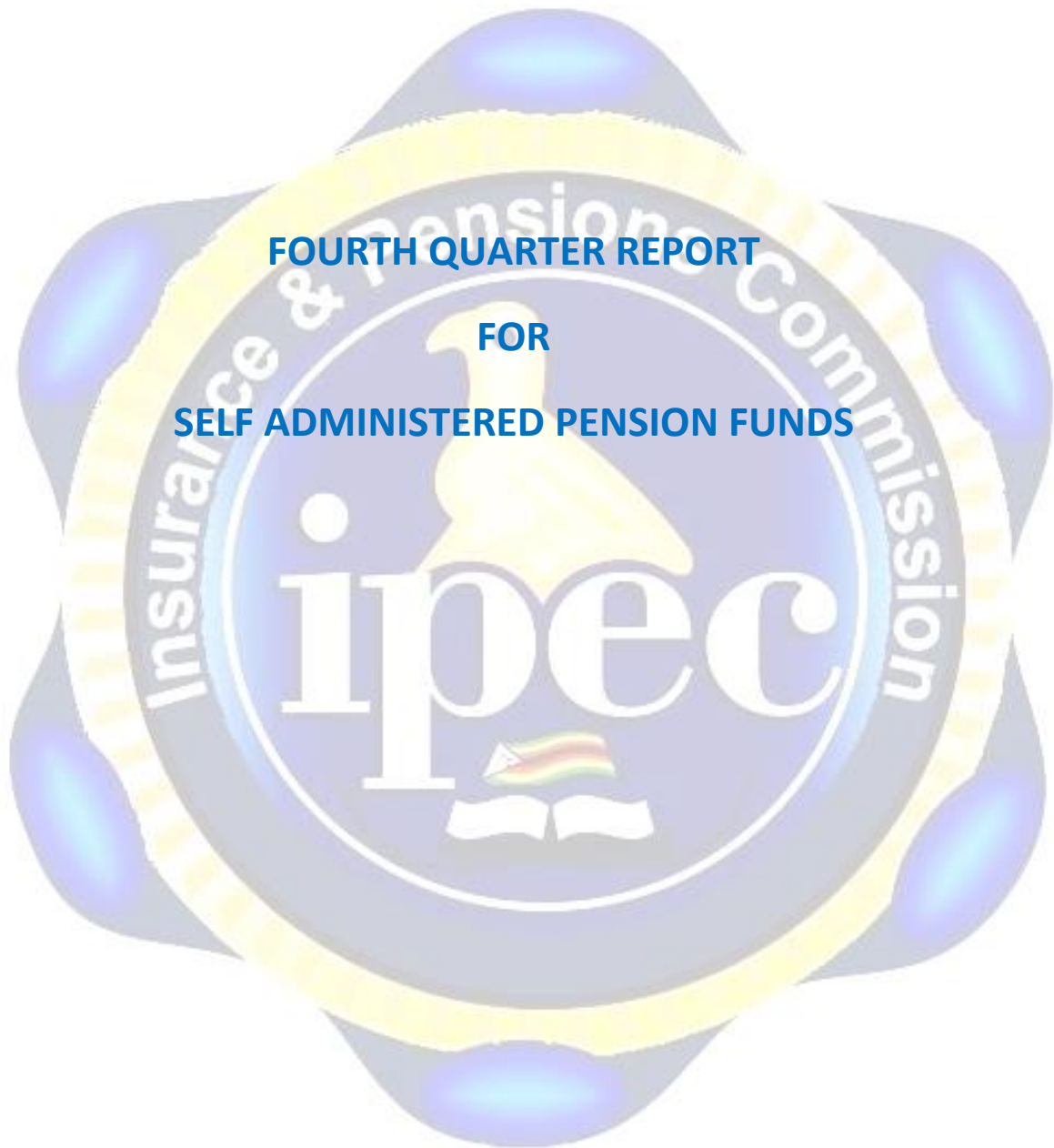


# INSURANCE AND PENSIONS COMMISSION



## FOURTH QUARTER REPORT FOR SELF ADMINISTERED PENSION FUNDS

FOR THE YEAR ENDED 31 DECEMBER 2015

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## 2.0 Industry Overview

This report is based on returns submitted by 16 standalone funds, 4 fund administrators and 4 life assurers for the current reporting period.

For the current reporting period, standalone self-administered funds reported a 2% increase in contributions to close the year 2015 at \$323million (December 2014:\$318million).However 73% or \$236million of the contributions were in arrears (December 2014:66% or \$209million).

Insurer self-administered funds reported a 10% increase in contributions to close the year 2015 at \$90million (December 2014:\$82million).However 44% or \$40million of the contributions were in arrears (December 2014:43% or \$35million).

Furthermore, professional administrators realized a 32% decrease in contributions to close the reporting period at \$83million (December 2014:\$122million).Similarly,43% or \$36million of the contributions were in arrears (December 2014:23% or \$29million).

All self-administered funds reported total contributions received in the sum of \$140million, a 36% decline from 2014 (December 2014:219million).Net income totaled \$126million (contributions net of expenditure) while a 31% expense contribution ratio was recorded. Expense to total income ratio was 16%.

Total assets increased from \$1.819billion reported previously to \$2.11 billion as at 2015 year end which was shared as follows: standalone funds (\$1.326billion or 63%), insurer administrators (15% or \$324million) and fund administrators funds (\$461million or 22%). Funds invested 5% of their assets in prescribed instruments (See Table 2.2below).

### 2.1 Financial Summary for Self-Administered Funds for the year ended 31 December 2015

| Item                                        | Standalone Funds |           |         | Insurer Administered |         |         | Fund Administrators |         |         | TOTALS    |           |         |
|---------------------------------------------|------------------|-----------|---------|----------------------|---------|---------|---------------------|---------|---------|-----------|-----------|---------|
|                                             | Dec-14           | Dec-15    | Growth% | Dec-14               | Dec-15  | Growth% | Dec-14              | Dec-15  | Growth% | Dec-14    | Dec-15    | Growth% |
| Arrear Contributions (\$000)                | 208,973          | 235,702   | 13%     | 35,361               | 40,024  | 13%     | 28,514              | 35,515  | 20%     | 272,848   | 311,241   | 14%     |
| Total Contributions (Incl.Arrears )(\$000)  | 317,611          | 323,480   | 2%      | 82,418               | 90,334  | 10%     | 122,070             | 83,021  | -32%    | 522,099   | 496,834   | -5%     |
| Total Contributions (Excl. Arrears) (\$000) | 104,712          | 87,778    | -16%    | 50,591               | 503,10  | -1%     | 64,128              | 52,687  | -18%    | 219,431   | 140,465   | -36%    |
| Total Income (\$000)                        | 169,847          | 145,770   | -14%    | 52,787               | 44,454  | -16%    | 95,478              | 83,743  | -12%    | 318,112   | 273,967   | -14%    |
| Total Benefits                              | 64,075           | 83,016    | 30%     | 18,274               | 22,398  | 23%     | 40,613              | 41,848  | 3%      | 122,962   | 147,262   | 20%     |
| Total Expenses (\$000)                      | 19,825           | 19,775    | 0%      | 7,390                | 12,550  | 70%     | 26,556              | 10,655  | -60%    | 53,771    | 42,980    | -20%    |
| Net Income(\$000)                           | 85,947           | 42,979    | 50%     | 27,123               | 9,506   | -30%    | 68,922              | 73,088  | 6%      | 181,992   | 125,573   | -31%    |
| (Expense/Contributions)%                    | 19%              | 23%       | 4%      | 25%                  | 25%     | 0%      | 43%                 | 20%     | -23%    | 25%       | 31%       | 6%      |
| (Expense/Total Income)%                     | 12%              | 13%       | 1%      | 24%                  | 28%     | 4%      | 41%                 | 28%     | -30%    | 17%       | 16%       | -1%     |
| Total Assets (\$000)                        | 1,058,110        | 1,326,278 | 27%     | 274,492              | 324,393 | 18%     | 486,184             | 460,513 | -5%     | 1,818,786 | 2,111,184 | 16%     |
| Prescribed Assets                           | 33,078           | 62,359    | 89%     | 15,681               | 17,724  | 13%     | 32,257              | 19,968  | 38%     | 81,016    | 100,051   | 23%     |
| Prescribed Asset Ratio (%)                  | 3%               | 5%        | 2%      | 6%                   | 5%      | -1%     | 7%                  | 4%      | -3%     | 4%        | 5%        | 1%      |



## **SECTION A**

### **STAND ALONE PENSION FUNDS**

### 3.0 The Number of Standalone Self-Administered Pension Funds

This report is based on 16 standalone funds (See Table 1, below). Funds which failed to submit their returns on time were fined in terms of the act.

Table 1: Standalone Self-Administered Pension Funds

| Fund Name                         | Dec 2015  |
|-----------------------------------|-----------|
| Catering Industry Pension Fund    | 1         |
| Clothing Industry Pension Fund    | 1         |
| Communication and Allied P/Fund   | 1         |
| Construction Industry P/Fund      | 1         |
| Local Authorities Pension Fund    | 1         |
| Mining Industry Pension Fund      | 1         |
| NRZ Pension Fund                  | 1         |
| Pentact Pension Scheme            | 1         |
| Unified Councils Pension Fund     | 1         |
| ZB Financial Holdings P/Fund      | 1         |
| ZMDC                              | 1         |
| ZESA Pension Fund                 | 1         |
| Zimbabwe Electricity Pension Fund | 1         |
| GMB Pension Fund                  | 1         |
| Zimpapers                         | *         |
| Motor Industry Pension Fund       | 1         |
| Specialised Business Machines     | 1         |
| <b>TOTAL</b>                      | <b>16</b> |

\*Returns not submitted



#### 4.0 Pension Fund Membership

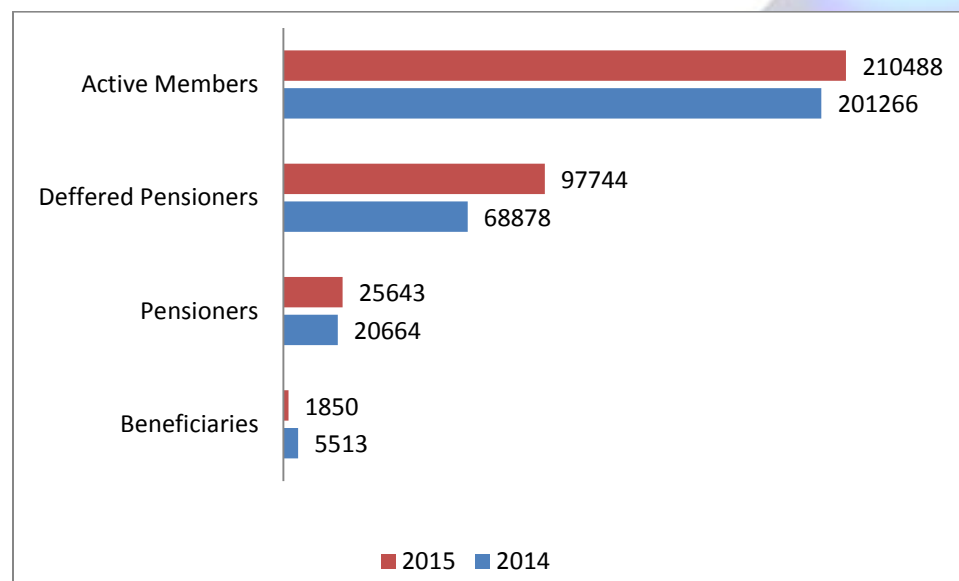
Total fund membership rose by 12% from the prior year figure of 305,500 as at year ending December 2014 to 344,100 at the year ending December 2015. Active members contributed 61% or 210,000(December 2014:65% or 201,000), deferred pensioners rose from 19% or 68,878 at the end of 2014 to 28% or 97,744 at the end of 2015, pensioners numbered 25,643 or 6 %(December 2014: 7% or 20,664) whilst the balance of 5% or 22,000 was made up of beneficiaries (widows and others) (See Table 2 and Figure 1, below).

**Table2: Membership per Standalone Fund for the year ended 31 December 2015**

| Fund Name                | Active members |                |           | Deferred Pensioners |               |            | Former members/Pensioners |               |             | Widows & Others |               |           | Exits        |               |              | Total Membership |                |            |
|--------------------------|----------------|----------------|-----------|---------------------|---------------|------------|---------------------------|---------------|-------------|-----------------|---------------|-----------|--------------|---------------|--------------|------------------|----------------|------------|
|                          | Dec-14         | Dec-15         | Growth    | Dec-14              | Dec-15        | Growth     | Dec-14                    | Dec-15        | Growth      | Dec-14          | Dec-15        | Growth    | Dec-14       | Dec-15        | Growth       | Dec-14           | Dec-15         | Growth     |
| Catering IPF             | 14,690         | 14,696         | 0%        | 160                 | 21,534        | 13359%     | 152                       | 159           | 4%          | 0               | 0             | 0%        | 0            | 0             | 0%           | 60,924           | 36,389         | -40%       |
| Clothing IPF             | 12,025         | 14,286         | 19%       | 10,977              | 10,313        | -6%        | 0                         | 0             | 0%          | 0               | 0             | 0         | -525         | -446          | -15%         | 22,477           | 25,045         | 11%        |
| CAIPF                    | 3,278          | 2,924          | -11%      | 4,181               | 4,212         | 1%         | 1,452                     | 1,769         | 22%         | 2,887           | 2,776         | -4%       | -172         | -365          | 112%         | 11,627           | 11,681         | 0%         |
| CIPF                     | 60,509         | 65,904         | 9%        | 5,772               | 5,975         | 4%         | 78                        | 71            | -9%         | 115             | 120           | 4%        | -652         | -788          | 21%          | 65,822           | 63,070         | -4%        |
| LAPF                     | 19,472         | 18,407         | -5%       | 0                   | 0             | 0%         | 4,377                     | 5,202         | 19%         | 7,404           | 7,488         | 1%        | -45          | -73           | 62%          | 31,208           | 31,097         | 0%         |
| MIPF                     | 28,179         | 25,592         | -9%       | 43,445              | 46,581        | 7%         | 8,190                     | 8,706         | 6%          | 1,298           | 1,350         | 4%        | -3,500       | 2,309         | 0%           | 77,612           | 82,229         | 6%         |
| NRZ                      | 6,593          | 5,774          | -12%      | 1,944               | 2,037         | 5%         | 5,053                     | 4,947         | -2%         | 7,647           | 6,935         | -9%       | -77          | -80           | 4%           | 21,160           | 19,693         | -7%        |
| Pentact                  | *              | 3              | 0%        | *                   | 0             | 0%         | *                         | 0             | 0%          | *               | 0             | 0%        | *            | 0             | 0%           | *                | 0              | 0%         |
| Unified Councils P/F     | *              | 5,309          | 0%        | *                   | 13            | 0%         | *                         | 1             | 0%          | *               | 0             | 0%        | *            | -23           | 0%           | *                | 5,323          | 0%         |
| ZB FHGPF                 | 678            | 2,647          | 290%      | 864                 | 3,502         | 305%       | 306                       | 1,457         | 376%        | 174             | 692           | 298%      | -507         | -12           | -98%         | 1,515            | 8,298          | 448%       |
| ZESA PF                  | *              | 0              | 0%        | *                   | 2,890         | 0%         | *                         | 2,486         | 0%          | *               | 2,085         | 0%        | *            | 0             | 0%           | *                | 4,571          | 0%         |
| Z/lectrical Industry P/F | 6,735          | 6,740          | 0%        | 0                   | 0             | 0%         | 360                       | 580           | 61%         | 146             | 246           | 68%       | 0            | 0             | 0%           | 7,241            | 7,566          | 4%         |
| GMB                      | 1,992          | 1,930          | -3%       | 694                 | 686           | -1%        | 27                        | 27            | 0%          | 0               | 0             | 0%        | -21          | -63           | 200%         | 2,692            | 2,643          | -2%        |
| Zimpapers                | 992            | *              | 0%        | 840                 | *             | 0%         | 495                       | *             | 0%          | 496             | *             | 0%        | -14          | *             | 0%           | 2,809            | *              | 0%         |
| Motor Ind                | 45,936         | 46,098         | 0%        | 0                   | 0             | 0%         | 112                       | 165           | 47%         | 36              | 299           | 731%      | 0            | 0             | 0%           | 46,084           | 46,263         | 0%         |
| ZMDC                     | 187            | 173            | -7%       | 0                   | 0             | 0%         | 62                        | 73            | 18%         | 79              | 78            | -1%       | 0            | 0             | 0%           | 328              | 324            | -1%        |
| Specialized Bus M        | 6              | 5              | -17%      | 1                   | 1             | 0%         | 0                         | 0             | 0%          | 0               | 0             | 0%        | 0            | 0             | 0%           | 7                | 6              | -14%       |
| <b>Totals</b>            | <b>201,266</b> | <b>210,488</b> | <b>5%</b> | <b>68,878</b>       | <b>97,744</b> | <b>42%</b> | <b>20,664</b>             | <b>25,643</b> | <b>-61%</b> | <b>20,282</b>   | <b>22,069</b> | <b>9%</b> | <b>5,513</b> | <b>-1,850</b> | <b>-134%</b> | <b>305,588</b>   | <b>344,198</b> | <b>12%</b> |

\*Returns not submitted

**Figure 1: Membership for Standalone Funds for the year ended 31 December 2015**



## **5.0 Contributions**

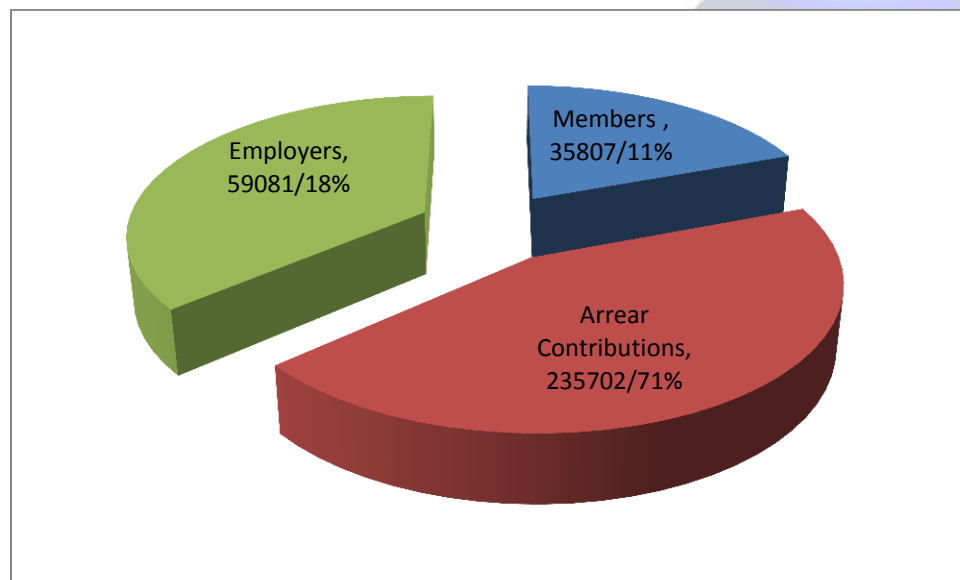
Employers contributed \$52million or 16% of total contributions (December 2014:19% or \$59million) whilst active members paid \$36million or 11% of total contributions (December 2014:16% or \$50million). The Commission, however, noted that 73% of total contributions or \$236 million was made up of arrears (December 2014:65% or \$208million) which employers attributed to liquidity challenges in the economy. IPEC will continue to engage stakeholders in an effort to rectify this challenge which has been worsening over the years(See table 3 and figure 2, below).

**Table 3: Contributions Statistics per Standalone Fund for the year ended 31 December 2015**

| Fund Name                  | Contributions(000) |        |        |           |        |        | Arrear Contributions(000) |        |        |           |         |        | Total Contributions(000) |         |        |
|----------------------------|--------------------|--------|--------|-----------|--------|--------|---------------------------|--------|--------|-----------|---------|--------|--------------------------|---------|--------|
|                            | Members            |        |        | Employers |        |        | Members                   |        |        | Employers |         |        |                          |         |        |
|                            | Dec-14             | Dec-15 | Growth | Dec-14    | Dec-15 | Growth | Dec-14                    | Dec-15 | Growth | Dec-14    | Dec-15  | Growth | Dec-14                   | Dec-15  | Growth |
| Catering IPF               | 1,138              | 1,190  | 5%     | 1,138     | 1,190  | 5%     | 0                         | 0      | 0%     | 0         | 446     | 0%     | 2,276                    | 2,826   | 24%    |
| Clothing IPF               | 593                | 651    | 10%    | 830       | 912    | 10%    | 438                       | 438    | 0%     | 1,504     | 1,922   | 28%    | 3,365                    | 3,923   | 17%    |
| CAIPF                      | 1,664              | 244    | -85%   | 5,000     | 751    | -85%   | 2,872                     | 3,060  | 7%     | 8,616     | 21,425  | 149%   | 18,152                   | 25,480  | 40%    |
| CIPF                       | 1,825              | 1,602  | -12%   | 1,825     | 1,602  | -12%   | 0                         | 0      | 0%     | 384       | 155     | -60%   | 4,084                    | 3,359   | -18%   |
| LAPF                       | 18,288             | 7,519  | -59%   | 21,379    | 21,753 | 2%     | 0                         | 0      | 0%     | 169,002   | 144,579 | -14%   | 208,669                  | 173,851 | -17%   |
| MIPF                       | 16,298             | 15,894 | -2%    | 16,380    | 15,815 | -3%    | 195                       | 806    | 313%   | 836       | 209     | -75%   | 33,709                   | 32,724  | -3%    |
| NRZ                        | 3,512              | 3,232  | -8%    | 0         | 0      | 0%     | 0                         | 0      | 0%     | 0         | 2,418   | 0%     | 3,512                    | 5,650   | 61%    |
| Pentact                    | *                  | 0      | 0%     | *         | 0      | 0%     | *                         | 0      | 0%     | *         | 0       | 0%     | *                        | 0       | 0%     |
| Unified Councils P/F       | *                  | 1,096  | 0%     | *         | 1,644  | 0%     | *                         | 0      | 0%     | *         | 15,068  | 0%     | *                        | 17,808  | 0%     |
| ZB FHGPF                   | 1,983              | 563    | -72%   | 2,936     | 830    | -72%   | 0                         | 0      | 0%     | 0         | 0       | 0%     | 4,919                    | 1,393   | -72%   |
| ZESA P/F                   | *                  | 0      | 0%     | *         | 0      | 0%     | *                         | 0      | 0%     | *         | 0       | 0%     | *                        | 0       | 0%     |
| Z/Electricity Industry P/F | 1,781              | 1,201  | -33%   | 3,784     | 2,551  | -33%   | 4,313                     | 9,938  | 130%   | 9,165     | 23,668  | 158%   | 19,043                   | 37,358  | 96%    |
| GMB                        | 400                | 345    | -14%   | 1,520     | 1,496  | -2%    | 515                       | 829    | 61%    | 3,163     | 5,095   | 61%    | 5,598                    | 8,594   | 54%    |
| Zimpapers                  | 399                | *      | 0%     | 559       | *      | 0%     | 698                       | *      | 0%     | 2,263     | *       | 0%     | 3,919                    | 8       | -100%  |
| Motor Industries P/F       | 1,633              | 2,247  | 38%    | 3,634     | 3,368  | -7%    | 686                       | 1,411  | 106%   | 3,196     | 2,116   | -34%   | 9,149                    | 9,142   | 0%     |
| ZMDC                       | 42                 | 22     | -48%   | 101       | 56     | -45%   | 0                         | 0      | 0%     | 1,127     | 2,119   | 88%    | 1,270                    | 2,197   | 73%    |
| Specialised Bus Machines   | 1                  | 1      | 0%     | 2         | 2      | 0%     | 0                         | 0      | 0%     | 0         | 0       | 0%     | 3                        | 3       | 0%     |
| Total                      | 49,557             | 35,807 | -28%   | 59,081    | 51,970 | -12%   | 9,717                     | 16,482 | 70%    | 199,256   | 219,220 | 10%    | 317,611                  | 323,479 | 2%     |



**Figure 2: Contributions Statistics per Standalone Fund for the year ended 31 December 2015(\$000)**



## **6.0 Income and Expenditure**

For the year under review, total contributions received by Standalone funds amounted to \$88million against an expense bill of \$20 million or cost to contribution and expense to total income ratios of 23% and 13% respectively. These ratios are against what IPEC considers fair and is urging industry to target 10%. However, the costs bills could be bloated due to lack of separation of the administration costs and unrealized costs like depreciation, stock market fluctuations and levies. Funds that submitted the breakdown of costs have cost/ contribution ratios that are within IPEC recommended levels. The regulator continues to encourage administrators to submit their costs breakdowns separating administration costs and unrealized expenses and other costs not directly covering the administration of the fund. Benefit disbursements were at \$83million (December 2014:\$64million) (See Table 4 and Figure 3 below).

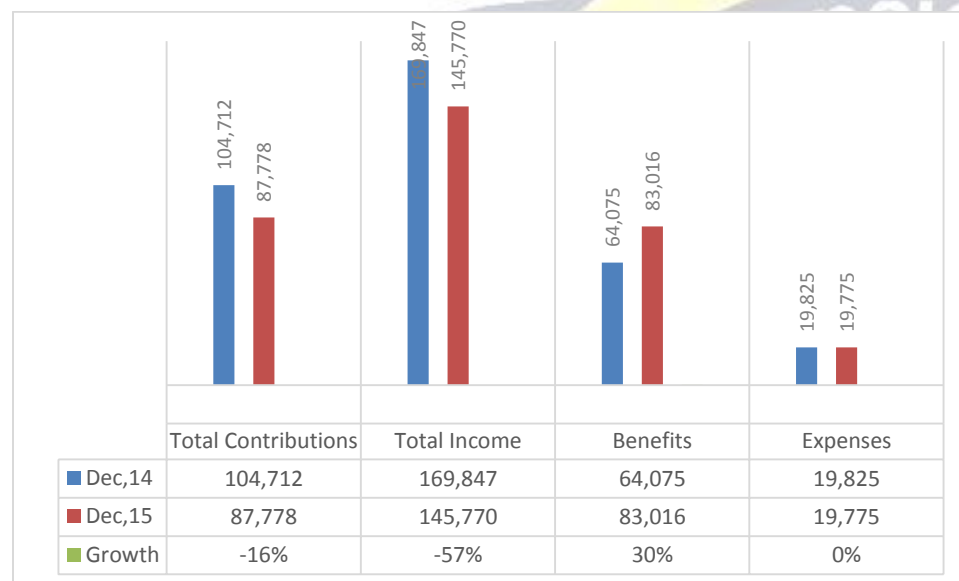
**Table 4: Income and Expenditure per Standalone Fund for the year ended 31 December 2015 (\$'000)**

| Fund Name            | Total Contributions<br>(Excl arrears)(000) |               |             | Total Income (000) |                |             | Total Paid Benefits(000) |               |            | Expenses(000) |               |           | (Expenses/Contributions) |            |           | (Expenses/Total Income)% |            |           |
|----------------------|--------------------------------------------|---------------|-------------|--------------------|----------------|-------------|--------------------------|---------------|------------|---------------|---------------|-----------|--------------------------|------------|-----------|--------------------------|------------|-----------|
|                      | Dec-14                                     | Dec-15        | Growth      | Dec-14             | Dec-15         | Growth      | Dec-14                   | Dec-15        | Growth     | Dec-14        | Dec-15        | Growth    | Dec-14                   | Dec-15     | Growth    | Dec-14                   | Dec-15     | Growth    |
| Catering IPF         | 2,275                                      | 2,380         | 5%          | 3,483              | 3,566          | 2%          | 826                      | 1,376         | 67%        | 871           | 1,194         | 37%       | 38%                      | 50%        | 12%       | 25%                      | 33%        | 8%        |
| Clothing IPF         | 2,474                                      | 1,563         | -37%        | 3,912              | 2,497          | -36%        | 662                      | 446           | -33%       | 1,360         | 1,335         | -2%       | 55%                      | 85%        | 30%       | 35%                      | 53%        | 18%       |
| CAIPF                | 13,694                                     | 995           | -93%        | 26,443             | 11,449         | -57%        | 10,311                   | 12,023        | 17%        | 4,156         | 2,474         | -40%      | 30%                      | 249%       | 219%      | 16%                      | 22%        | 7%        |
| CIPF                 | 3,650                                      | 3,204         | -12%        | 3,739              | 2,931          | -22%        | 1,072                    | 1,287         | 20%        | 2,188         | 1,851         | -15%      | 60%                      | 58%        | -2%       | 59%                      | 63%        | 4%        |
| LAPF                 | 28,844                                     | 29,272        | 1%          | 36,814             | 38,221         | 4%          | 13,330                   | 20,833        | 56%        | 2,173         | 1,977         | -9%       | 8%                       | 7%         | -1%       | 6%                       | 5%         | -1%       |
| MIPF                 | 32,679                                     | 31,709        | -3%         | 43,686             | 44,952         | 0%          | 15,452                   | 14,793        | -4%        | 3,545         | 3,593         | 1%        | 11%                      | 11%        | 0%        | 8%                       | 8%         | 0%        |
| NRZ                  | 3,512                                      | 3,232         | -8%         | 18,631             | 19,305         | 0%          | 16,646                   | 23,590        | 42%        | 2,268         | 2,347         | 3%        | 65%                      | 73%        | 8%        | 12%                      | 12%        | -         |
| ZB Holdings P/F      | 1,932                                      | 1,393         | -28%        | 3,309              | 2,575          | -22%        | 1,501                    | 1,158         | -23%       | 202           | 190           | -6%       | 10%                      | 14%        | 4%        | 6%                       | 7%         | 1%        |
| Pentact              | *                                          |               | 0%          | *                  | -0             | 0%          | *                        | 0             | 0%         | *             | 0             | 0%        | 0%                       | 0%         | -         | 0%                       | 0%         | -         |
| Unified Councils P/F | *                                          | 2,740         | 0%          | *                  | 4,301          | 0%          | *                        | 335           | 0%         | *             | 2,244         | 0%        | 0%                       | 82%        | 82%       | 0%                       | 52%        | 52%       |
| Zimbabwe Electricity | 5,565                                      | 3,752         | -33%        | 7,362              | 4,998          | 0%          | 339                      | 331           | -2%        | 501           | 397           | -21%      | 9%                       | 11%        | 2%        | 7%                       | 8%         | 1%        |
| ZESA Pension Fund    | *                                          | 0             | 0%          | *                  | 3,355          | 0%          |                          | 2,083         | 0%         | *             | 180           | 0%        | 0%                       | 0%         | -         | 0%                       | 5%         | 5%        |
| GMB                  | 2,124                                      | 1,842         | -13%        | 2,720              | 2,682          | -1%         | 51                       | 204           | 300%       | 814           | 650           | -20%      | 38%                      | 35%        | -3%       | 30%                      | 24%        | -6%       |
| Zimpapers            | 959                                        | *             | 0%          | 1,305              | *              | 0%          | 736                      | *             | 0%         | 484           | *             | 0%        | 50%                      | 0%         | -         | 37%                      | -          | -         |
| Motor Ind            | 6,417                                      | 5,615         | -12%        | 7,467              | 5,722          | -14%        | 2,980                    | 4,096         | 37%        | 1,222         | 1,267         | 4%        | 19%                      | 23%        | 4%        | 16%                      | 22%        | 6%        |
| ZMDC                 | 584                                        | 78            | -87%        | 827                | 731            | 2%          | 169                      | 461           | 173%       | 41            | 56            | 37%       | 7%                       | 72%        | 65%       | 5%                       | 8%         | 3%        |
| S/ Buss Machines     | 3                                          | 3             | 0%          | 4                  | 5              | -36%        | 0                        | 0             | 0%         | 0             | 0             | 0%        | 0%                       | 0%         | 0%        | 0%                       | 0%         | %         |
| <b>Totals</b>        | <b>104,712</b>                             | <b>87,778</b> | <b>-16%</b> | <b>169,847</b>     | <b>145,770</b> | <b>-57%</b> | <b>64,075</b>            | <b>83,016</b> | <b>30%</b> | <b>19,825</b> | <b>19,775</b> | <b>0%</b> | <b>19%</b>               | <b>23%</b> | <b>4%</b> | <b>12%</b>               | <b>13%</b> | <b>1%</b> |

**\*Returns not submitted**

**- No comparison**

**Figure 3: Income and Expenditure for Standalone Funds for the year ended 31 December 2015 (\$000)**



### 7.0 Fund Assets for standalone pension funds as at 31 December 2015

For the year ended 31 December 2015, Standalone pension funds' investments were distributed in properties {46% or \$601million: December 2014:51% or \$543million}, equities {10% or \$132million: December 2014, 15% or \$157million}, money market {\$78million or 6%: December 2014:4% or \$40million} and other assets {33% or \$425million: December 2014:27% or \$283million}. The balance of \$62million or 5% was in prescribed assets.

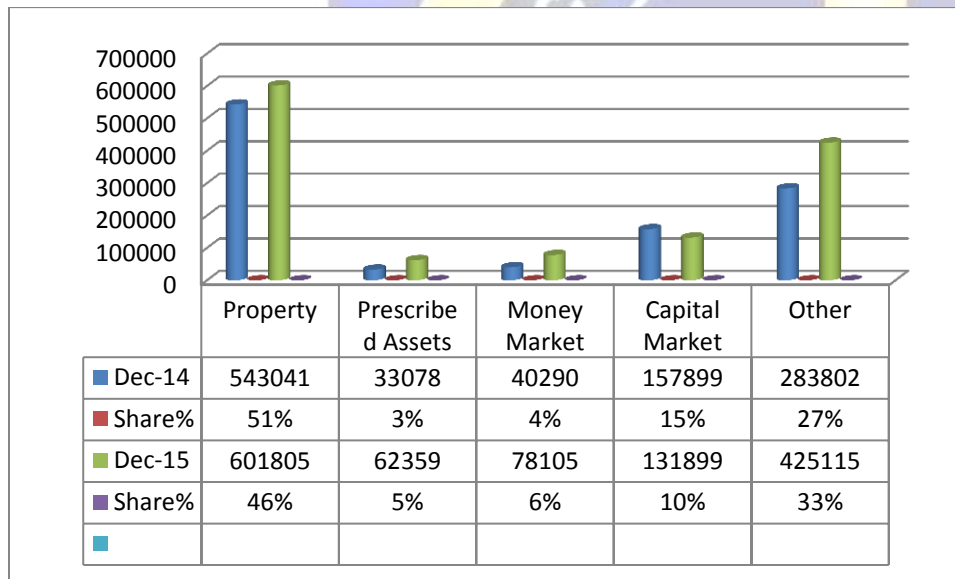
Funds must abide by the actuarial guidelines in conjunction with Circular No.1 of 2013 which introduced a ceiling on each asset class. Circular 1 of 2013 should be read in conjunction with Circular 1 of 2016 which emphasizes the submission of investment policies to IPEC by funds, in line with each fund's risk profile.(See Table 5 and Figure 4, below).

**Table 5: Fund Assets Market Value per Standalone Fund as at 31 December 2015**

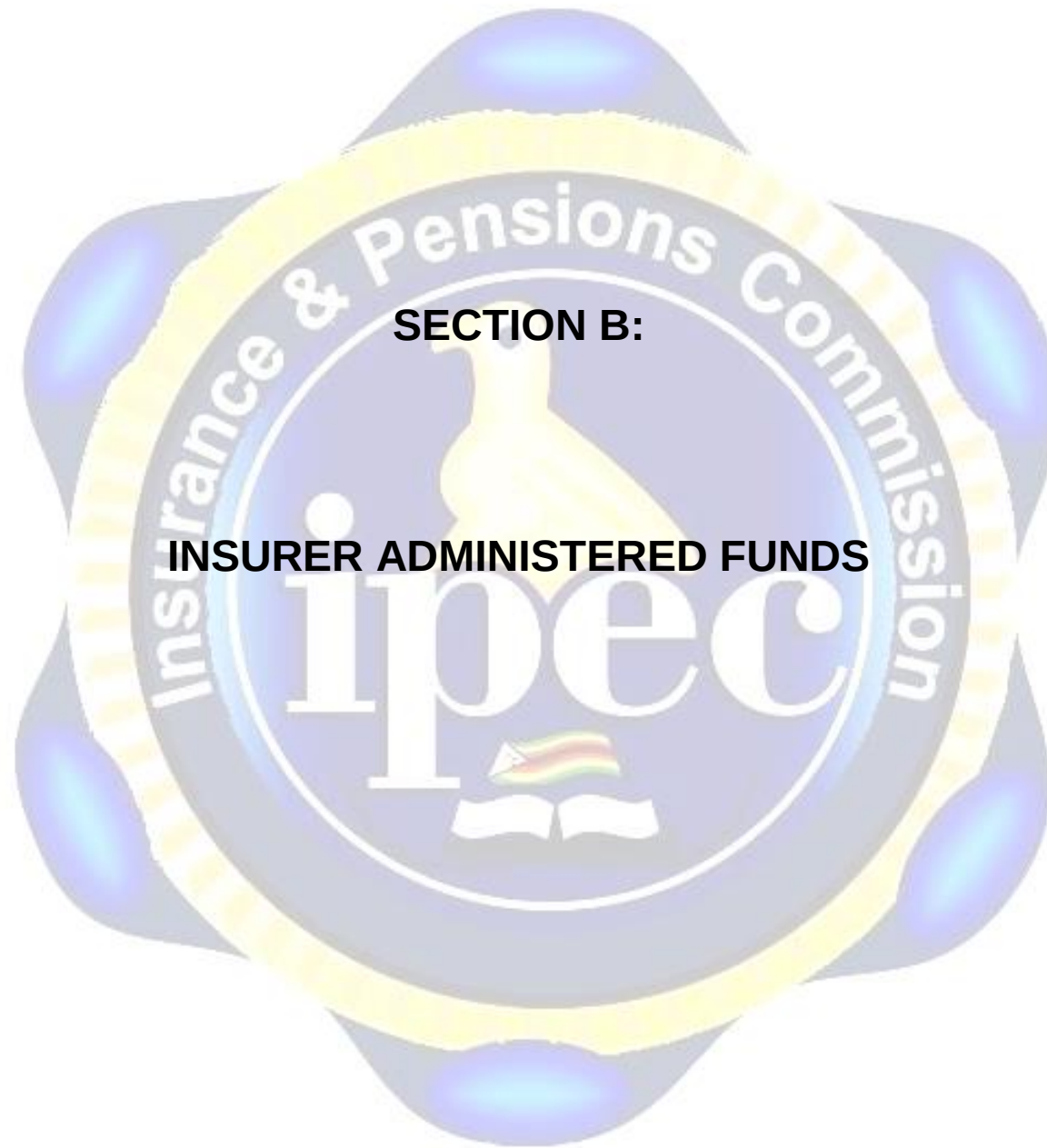
| Fund Name                  | Immovable Property(\$000) |         |        | Prescribed Assets(\$000) |        |        | Money Market Securities (\$000) |        |        | Capital (\$000) | Market | Securities | Other (\$000) |         |        | Total (\$000) |         |        |
|----------------------------|---------------------------|---------|--------|--------------------------|--------|--------|---------------------------------|--------|--------|-----------------|--------|------------|---------------|---------|--------|---------------|---------|--------|
|                            | Dec-14                    | Dec-15  | Growth | Dec-14                   | Dec-15 | Growth | Dec-14                          | Dec-15 | Growth |                 |        |            | Dec-14        | Dec-15  | Growth | Dec-14        | Dec-15  | Growth |
| Catering IPF               | 8,635                     | 8,972   | 4%     | 102                      | 72     | -29%   | 0                               | 143    | 0%     | 4,862           | 4,840  | 0%         | 856           | 1,595   | 86%    | 14,445        | 15,622  | 8%     |
| Clothing IPF               | 10,845                    | 10,845  | 0%     | 393                      | 167    | -58%   | 1,350                           | 3,044  | 125%   | 4,152           | 529    | -87%       | 1,516         | 5,203   | 243%   | 18,256        | 19,788  | 8%     |
| CAIPF                      | 84,921                    | 61,255  | -28%   | 6,245                    | 10,744 | 72%    | 5,814                           | 4,374  | -25%   | 18,984          | 6,469  | -66%       | 16,938        | 40,260  | 138%   | 132,908       | 123,102 | -7%    |
| CIPF                       | 11,923                    | 17,237  | 45%    | 316                      | 513    | 62%    | 0                               | 0      | 0%     | 6,850           | 6,215  | -9%        | 4,885         | 2,200   | -55%   | 23,974        | 26,165  | 9%     |
| LAPF                       | 45,815                    | 82,165  | 79%    | 0                        | 0      | 0%     | 0                               | 0      | 0%     | 26,259          | 27,043 | 3%         | 29,740        | 152,969 | 414%   | 101,814       | 262,177 | 158%   |
| MIPF                       | 102,096                   | 96,665  | -5%    | 9,333                    | 12,379 | 33%    | 6,739                           | 6,890  | 2%     | 57,117          | 39,227 | -31%       | 1,410         | 4,242   | 201%   | 176,695       | 159,403 | -10%   |
| NRZ                        | 227,580                   | 227,732 | 0%     | 2,641                    | 12,338 | 367%   | 11,707                          | 4,896  | -58%   | 17,063          | 13,318 | -22%       | 166,931       | 167,512 | 0%     | 425,925       | 425,796 | 0%     |
| Pentact                    | *                         | 0       | 0%     | *                        | 0      | 0%     | *                               | 218    | 0%     | *               | 6      | 0%         | *             | -3      | 0%     | *             | 221     | 0%     |
| Unified Councils P/F       | *                         | 7,025   | 0%     | *                        | 111    | 0%     | *                               | 321    | 0%     | *               | 9      | 0%         | *             | 0       | 0%     | *             | 22,932  | 0%     |
| ZB FHGPF                   | 3,676                     | 18,557  | 405%   | 5,479                    | 8,702  | 59%    | 48                              | 33,151 | 68965% | 9,642           | 13,867 | 44%        | 1,193         | 264     | -78%   | 20,039        | 74,541  | 272%   |
| Z/Electricity Industry p/f | 28,696                    | 33,527  | 17%    | 3,382                    | 7,000  | 107%   | 6,800                           | 18,150 | 167%   | 4,885           | 3,972  | -19%       | 42,037        | 58,262  | 39%    | 85,800        | 120,911 | 41%    |
| ZESA P/F                   | *                         | 23,360  | 0%     | *                        | 2,700  | 0%     | *                               | 2,160  | 0%     | *               | 4,173  | 0%         | *             | 10,244  | 0%     | *             | 42,637  | 0%     |
| GMB                        | 6,372                     | 3,947   | -38%   | 306                      | 0      | -100%  | 0                               | 2      | 0%     | 20              | 0      | -100%      | 4,236         | 2,391   | -44%   | 10,934        | 6,338   | -42%   |
| Zimpapers                  | 2,248                     | *       | 0%     | 7                        | *      | 0%     | 100                             | *      | 0%     | 1,069           | *      | 0%         | 4,756         | *       | 0%     | 8,180         | *       | 0%     |
| Motor Ind                  | 8,660                     | 8,944   | 3%     | 3,329                    | 5,969  | 79%    | 7,080                           | 4,744  | -33%   | 6,792           | 12,047 | 77%        | 8,024         | 4,050   | -50%   | 33,885        | 35,754  | 6%     |
| ZMDC                       | 1,574                     | 1,574   | 0%     | 1,543                    | 1,661  | 8%     | 643                             | 0      | -100%  | 194             | 177    | -9%        | 1,280         | 2,926   | 129%   | 5,234         | 6,338   | 21%    |
| Specialised Buss Machines  | 0                         | 0       | 0%     | 2                        | 3      | 50%    | 9                               | 12     | 33%    | 10              | 7      | -30%       | 0             | 0       | 0%     | 21            | 22      | 5%     |

|        |         |         |     |        |        |     |        |        |     |         |         |      |         |         |     |           |           |     |
|--------|---------|---------|-----|--------|--------|-----|--------|--------|-----|---------|---------|------|---------|---------|-----|-----------|-----------|-----|
| Totals | 543,041 | 601,805 | 11% | 33,078 | 62,359 | 89% | 40,290 | 78,105 | 94% | 157,899 | 131,899 | -16% | 283,802 | 452,115 | 59% | 1,058,110 | 1,326,278 | 27% |
|--------|---------|---------|-----|--------|--------|-----|--------|--------|-----|---------|---------|------|---------|---------|-----|-----------|-----------|-----|

Figure 4: Fund Asset Values for Standalone Pension Funds for the year ended 31 December 2015\$(000)







**SECTION B:**

**INSURER ADMINISTERED FUNDS**

## 1.0 The Number of Insurer Self-Administered Pension Funds

This report covers 32 funds administered by 4 insurers (See Table 1, below).

Table 1: Fund Administrators

| Insurer             | Dec 2014  | Dec 2015  | Increase In No. of Funds |
|---------------------|-----------|-----------|--------------------------|
| <b>First Mutual</b> | 4         | 5         | 1                        |
| <b>Old Mutual</b>   | 25        | 25        | 25                       |
| <b>Altfin</b>       | #         | #         | #                        |
| <b>Zimnat</b>       | 2         | 2         | 0                        |
| <b>TOTALS</b>       | <b>31</b> | <b>32</b> | <b>1</b>                 |

# Means entity was suspended from operations

## 2.0 Pension Fund Membership

For the year ended 31 December 2015, total fund membership for insurer administered funds was 28,000 (December 2014:26,000), an 8% growth from the previous year. Active members numbered 26,000 or 93 %( December 2014: 28990 or 97% of total membership), pensioners 6% or 2000(December 2014:7% or 1,881) and the minority percentage of 1% comprised beneficiaries and deferred members (See Table 2 and Figure 1, below).

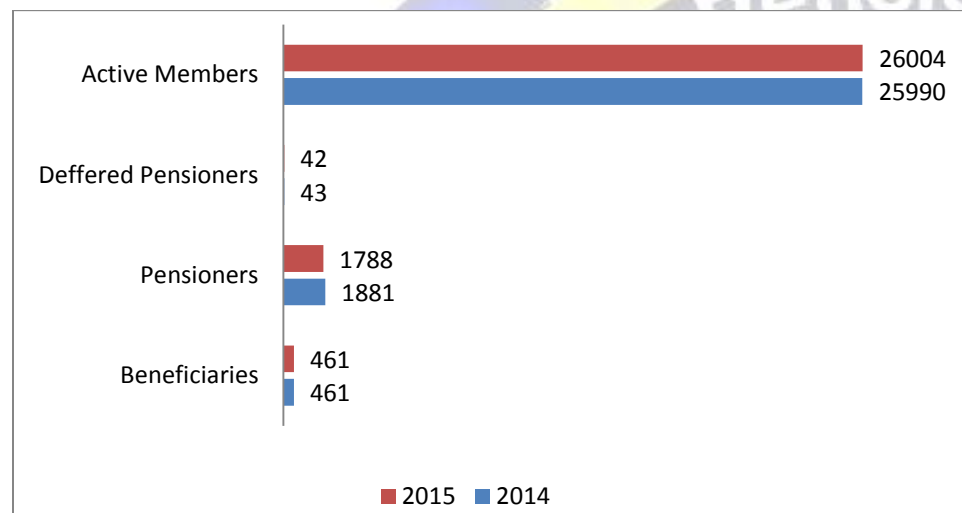
Table 2: Membership for Insured Self-Administered Pension Funds for the year ended 31 December 2015

| Insurer      | Active members |        |        | Deferred Pensioners |        |        | Former members/Pensioners |        |        | Widows & Others |        |        | Exits  |        |        | Total Membership |        |        |
|--------------|----------------|--------|--------|---------------------|--------|--------|---------------------------|--------|--------|-----------------|--------|--------|--------|--------|--------|------------------|--------|--------|
|              | Dec-14         | Dec-15 | Growth | Dec-14              | Dec-15 | Growth | Dec-14                    | Dec-15 | Growth | Dec-14          | Dec-15 | Growth | Dec-14 | Dec-15 | Growth | Dec-14           | Dec-15 | Growth |
| First Mutual | 3,744          | 4,402  | 18%    | 0                   | 0      | 0%     | 0                         | 0      | 0%     | 0               | 0      | 0%     | -152   | -385   | 153%   | 3,592            | 4,402  | 23%    |
| Old Mutual   | 22,028         | 21,415 | -3%    | 43                  | 43     | 0%     | 1,881                     | 1,788  | -5%    | 461             | 461    | 0      | -183   | 1,129  | -717%  | 22,349           | 23,707 | 6%     |

| Altfin | #      | #      | #    |    | #  | #  |       | #     | #  |     | #   | #  |      | #   | #  |        | #      | #    |
|--------|--------|--------|------|----|----|----|-------|-------|----|-----|-----|----|------|-----|----|--------|--------|------|
| Zimnat | 218    | 187    | -14% | 0  | 0  | 0% | 0     | 0     | 0% | 0   | 0   | 0% | -    | 0   | 0% | 218    | 187    | -14% |
| Totals | 25,990 | 26,004 | 0%   | 43 | 43 |    | 1,881 | 1,788 | -% | 461 | 461 |    | -335 | 744 |    | 26,159 | 28,296 | 8%   |

# Means entity suspended from operations

**Figure 1: Membership Statistics for Insured Self-Administered Funds for the year ended 31 December 2015**



## 2.0 Contributions

Employers contributed \$33million or 36% of received contributions (December 2014:36% or \$30million) whilst employees contributed \$17million or 19 % ( December 2014:\$17million or 21%) of total contributions. However contribution arrears closed the year 2015 at \$40million or 44% of total contributions. Efforts are ongoing to ensure full payment of all deducted contributions from employees (See Table 3 and Figure 2below).

**Table 3: Contributions Statistics for Insured Self-Administered Funds for the year ended 31 December 2015**

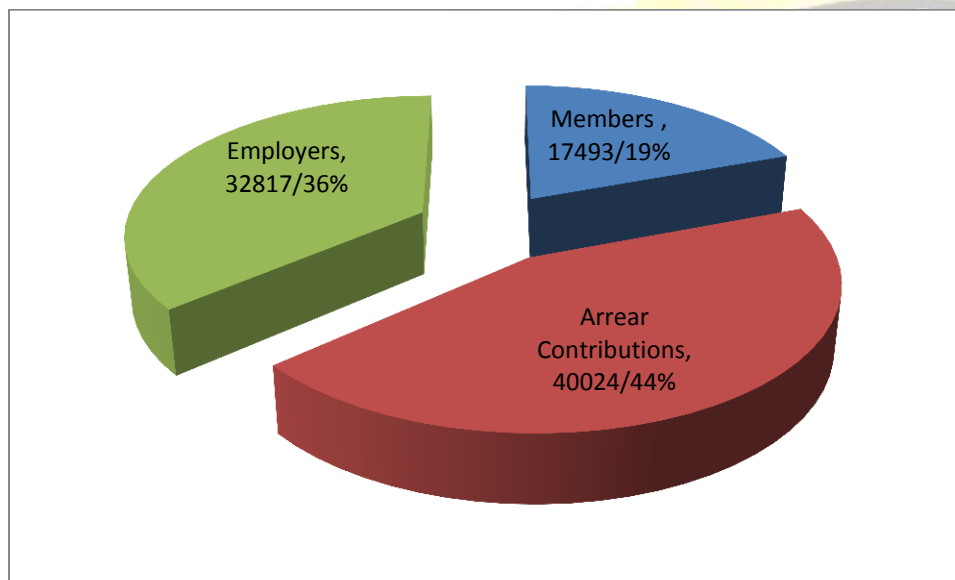
| Insurer      | Contributions(000) |        |        |           |        |        | Arrear Contributions(000) |        |        |           |        |        | Total Contributions(000) |        |        |
|--------------|--------------------|--------|--------|-----------|--------|--------|---------------------------|--------|--------|-----------|--------|--------|--------------------------|--------|--------|
|              | Members            |        |        | Employers |        |        | Members                   |        |        | Employers |        |        |                          |        |        |
|              | Dec-14             | Dec-15 | Growth | Dec 14    | Dec 15 | Growth | Dec-14                    | Dec-15 | Growth | Dec-14    | Dec-15 | Growth | Dec-14                   | Dec-15 | Growth |
| First Mutual | 6,356              | 6,546  | 3%     | 9,074     | 9,405  | 4%     | 0                         | 0      | 0      | 26,357    | 30,572 | 16%    | 41,787                   | 46,523 | 11%    |
| Old Mutual   | 10,577             | 10,679 | 1%     | 20,300    | 22,984 | 13%    | 0                         | 0      | 0      | 8,979     | 9,424  | 5%     | 39,856                   | 43,087 | 8%     |
| Altfin       | -                  | #      | 0%     | -         | #      | 0%     | 0                         | #      | 0      | -         | #      | 0%     | -                        | #      | 0%     |
| Zimnat       | 287                | 268    | -7%    | 463       | 428    | -8%    | 0                         | 0      | 0      | 25        | 28     | 12%    | 775                      | 724    | 7%     |

|        |        |        |    |        |        |     |   |   |   |        |        |     |        |        |     |
|--------|--------|--------|----|--------|--------|-----|---|---|---|--------|--------|-----|--------|--------|-----|
| Totals | 17,220 | 17,493 | 2% | 29,837 | 32,817 | 10% | 0 | 0 | 0 | 35,361 | 40,024 | 13% | 82,418 | 90,334 | 10% |
|--------|--------|--------|----|--------|--------|-----|---|---|---|--------|--------|-----|--------|--------|-----|

# Means entity was suspended from operations

-No comparison

**Figure 2: Contribution Statistics for Insured Self-Administered Funds for the year ended 31 December 2015(000)**



#### 4.0 Income and Expenditure

For the year ended 31 December 2015, insurers reported total income of \$44.million (December 2014:\$52million).The expense to total income ratio was 28%, a 15% increase from the previous reporting period whilst the cost to contribution ratio rose from 14% to 24%. To this end, IPEC continues to engage funds to rationalize their cost structures given the current poor investment returns in order to improve member values and benefits (See Table 4 and Figure 3 below).

| Insurer      | Total Contributions(Excl arrears)<br>\$000 |        |        | Total Income (000) |        |        | Total Paid Benefits(000) |        |        | Expenses(000) |        |        | (Expenses/Contributions)% |        |        | (Expenses/Total Income)% |        |        |
|--------------|--------------------------------------------|--------|--------|--------------------|--------|--------|--------------------------|--------|--------|---------------|--------|--------|---------------------------|--------|--------|--------------------------|--------|--------|
|              | Dec-14                                     | Dec-15 | Growth | Dec-14             | Dec-15 | Growth | Dec-14                   | Dec-15 | Growth | Dec-14        | Dec-15 | Growth | Dec-14                    | Dec-15 | Growth | Dec-14                   | Dec-15 | Growth |
| First Mutual | 15,431                                     | 15,951 | 3%     | 16,061             | 16,458 | 2%     | 2,724                    | 7,106  | 161%   | 5,300         | 5,481  | 3%     | 34%                       | 34%    | -      | 33%                      | 33%    | -      |
| Old Mutual   | 34,409                                     | 33,663 | -2%    | 35,599             | 27,023 | -24%   | 15,365                   | 14,919 | -3%    | 6,509         | 6,750  | 4%     | 19%                       | 20%    | 1%     | 18%                      | 25%    | 7%     |
| Altfin       | -                                          | #      | #      | -                  | #      | #      | -                        | #      | #      | -             | #      | #      | 0%                        | 0%     |        | 0%                       | 0%     | #      |
| Zimnat       | 751                                        | 696    | -7%    | 1,127              | 973    | -14%   | 185                      | 373    | 102%   | 881           | 319    | -64%   | 117%                      | 46%    | 71%    | 78%                      | 33%    | -45%   |
| Totals       | 50,591                                     | 50,310 | 1%     | 52,787             | 44,454 | -16%   | 18,274                   | 22,398 | 23%    | 7,390         | 12,550 | 70%    | 25%                       | 25%    | -      | 24%                      | 28%    | 4%     |

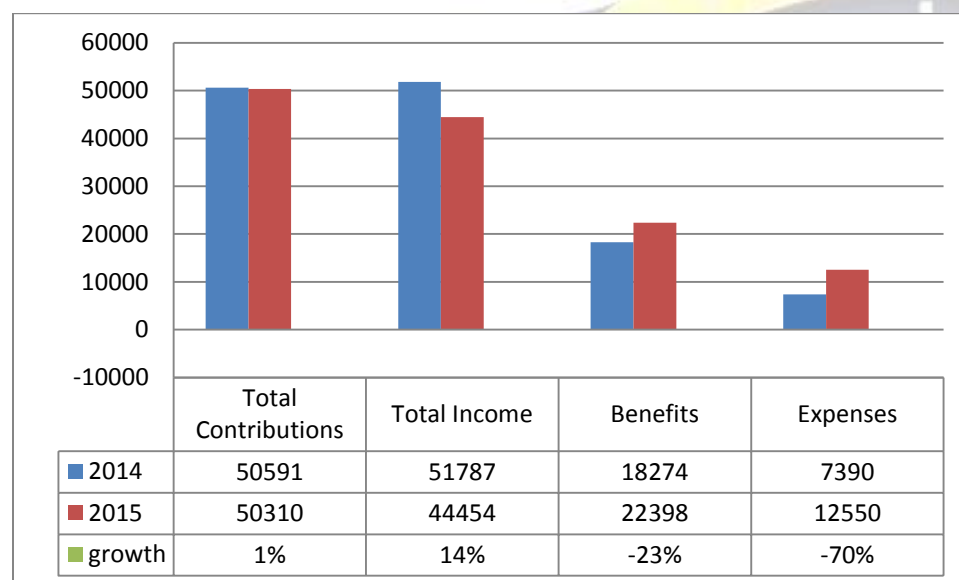
**Table 4: Income and Expenditure per Insurer for Self-Administered Funds for the year ended 31 December 2015**

# Means entity was suspended from operations

-Means non submission



**Figure 3: Income and Expenditure for Insured Self-Administered Funds for the year ended 31 December 2014 (\$000)**



## 5.0 Fund Assets

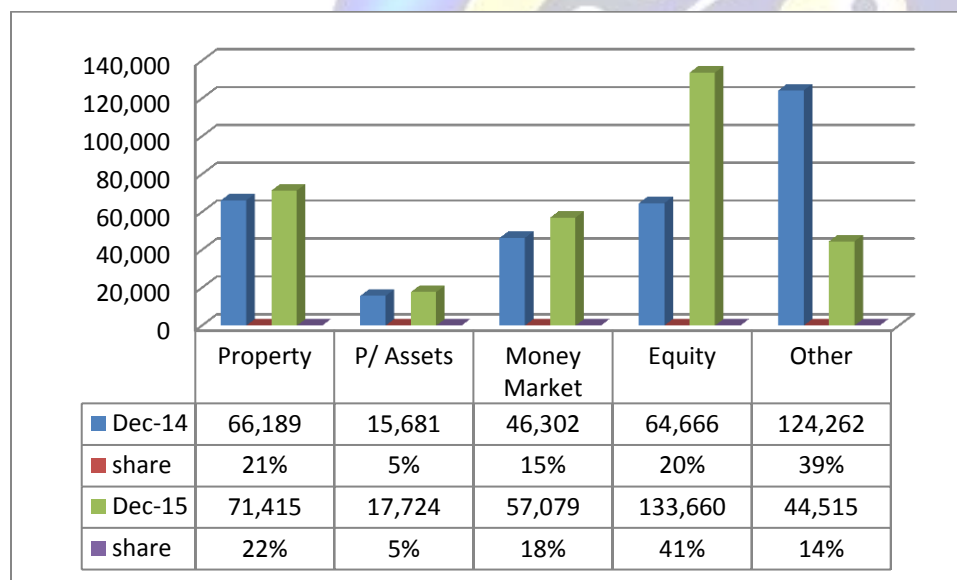
For the quarter under review, insurer administered funds held assets in properties {22% or \$71million, December 2014: 24% or \$66million }, equities {41% or \$134million,December 2014: 24% or \$64million, }, money market {17% or \$57million,December 2014: 51% or \$157,8million } and other assets {\$45million or 14%,December 2014:29% or \$124million }.Prescribed assets uptake was still low at 5% against a minimum of 10% (See Table 5 and Figure 4, below).

**Table 5: Fund Asset Statistics at Market Value for Insured Self-Administered Funds for the year ended 31 December 2015**

| Fund Name           | Immovable Property \$ (000) |        |        | Prescribed Assets\$(000) |        |        | Money Market Securities \$(000) |        |        | Capital Market Securities \$(000) |        |        | Other\$(000) |        |        | Total\$(000) |        |        |
|---------------------|-----------------------------|--------|--------|--------------------------|--------|--------|---------------------------------|--------|--------|-----------------------------------|--------|--------|--------------|--------|--------|--------------|--------|--------|
|                     | Dec-14                      | Dec-15 | Growth | Dec-14                   | Dec-15 | Growth | Dec-14                          | Dec-15 | Growth | Dec-14                            | Dec-15 | Growth | Dec-14       | Dec-15 | Growth | Dec-14       | Dec-15 | Growth |
| <b>First Mutual</b> | 10,30                       | 15,05  | 46%    | 507                      | 470    | -7%    | 2,831                           | 2,454  | -13%   | 10,616                            | 20,221 | 90%    | 13,651       | 30,572 | 124%   | 37,911       | 68,776 | 81%    |

|            |        |        |    |        |        |     |        |        |     |        |         |      |         |        |      |         |         |     |
|------------|--------|--------|----|--------|--------|-----|--------|--------|-----|--------|---------|------|---------|--------|------|---------|---------|-----|
|            | 6      | 9      |    |        |        |     |        |        |     |        |         |      |         |        |      |         |         |     |
| Old Mutual | 55,883 | 56,356 | 1% | 14,898 | 16,866 | 13% | 42,626 | 53,569 | 26% | 52,508 | 111,501 | 112% | 109,841 | 13,814 | -87% | 233,148 | 252,106 | 8%  |
| Altfin     | -      | #      | 0% | -      | #      | 0%  | -      | #      | 0%  | -      | #       | 0%   | -       | #      | 0%   |         | #       | 0%  |
| Zimnat     | 0      | 0      | 0% | 276    | 388    | 41% | 845    | 1,056  | 25% | 1,542  | 1,938   | 26%  | 770     | 129    | -83% | 3433    | 3,511   | 2%  |
| Totals     | 66,189 | 71,415 | 8% | 15,681 | 17,724 | 13% | 46,302 | 57,079 | 23% | 64,666 | 133,660 | 107% | 124,262 | 44,515 | -64% | 274,492 | 324,393 | 18% |

Figure 4: Fund Assets \$(000) as at 31 December 2015





**SECTION C:**

**FUND ADMINISTRATORS**

## 1.0 The Number of Fund Administrators

This report is based on 135 funds spread among four administrators (See Table 1, below).

**Table 1: Fund Administrators**

| Fund Administrator    | Dec 14     | Dec 15     | Increase/Decrease |
|-----------------------|------------|------------|-------------------|
| Minerva Risk Advisors | 57         | 59         | 2                 |
| Comarton Consultants  | 27         | 27         | -                 |
| Marsh                 | 45         | 45         | -                 |
| ZIB                   | 4          | 4          | -                 |
| <b>TOTALS</b>         | <b>133</b> | <b>135</b> | <b>2</b>          |

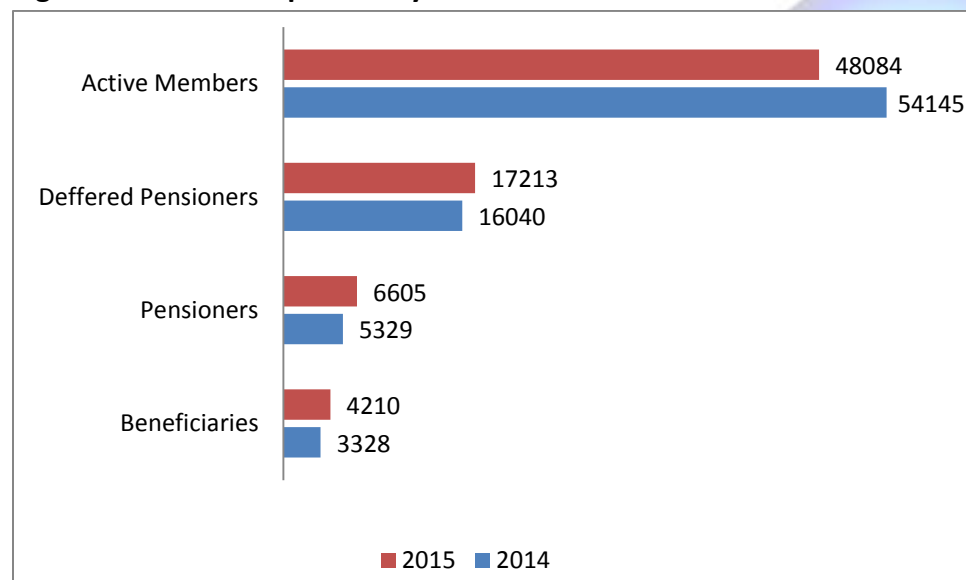
## 2.0 Pension Fund Membership

For the year under review, the four fund administrators reported total fund membership of 76,000. The active members made up 63% or 48,000 (December 2014: 54,000 or 71%) of total membership, pensioners and beneficiaries numbered 11,000 or a 14% share (December 2014: 11% or 9,000) whilst deferred pensioners constituted the balance of 22% (See Table 2 and figure 1 below).

**Table 2: Membership for Self-Administered Funds for the year ended 31 December 2015**

| Administrator | Active members |               |             | Deferred Pensioners |               |           | Former members/Pensioners |              |            | Widows & Others |              |            | Exits         |               |             | Total Membership |               |           |
|---------------|----------------|---------------|-------------|---------------------|---------------|-----------|---------------------------|--------------|------------|-----------------|--------------|------------|---------------|---------------|-------------|------------------|---------------|-----------|
|               | Dec-14         | Dec-15        | Growth      | Dec-14              | Dec-15        | Growth    | Dec-14                    | Dec-15       | Growth     | Dec-14          | Dec-15       | Growth     | Dec-14        | Dec-15        | Growth      | Dec-14           | Dec-15        | Growth    |
| Minerva       | 23,160         | 20,797        | -10%        | 10,875              | 11,364        | 4%        | 0                         | 1,466        | -          | 0               | 899          | -          | -2,623        | -2,251        | -14%        | 31,412           | 34,526        | 10%       |
| Comarton      | 14,738         | 13,800        | -6%         | 517                 | 88            | -83%      | 2,127                     | 2,140        | 1%         | 1,723           | 1,754        | 2%         | -385          | -228          | -41%        | 18,720           | 17,782        | -5%       |
| Marsh         | 15,796         | 13,351        | -15%        | 4,648               | 5,761         | 24%       | 3,196                     | 2,999        | -6%        | 1,600           | 1,557        | -3%        | -333          | -402          | 21%         | 24,907           | 23,668        | -5%       |
| ZIB           | 451            | 136           | -70%        | 0                   | 0             | 0%        | 6                         | 0            | -100%      | 5               | 0            | -100%      | -462          | -2            | -100%       | 462              | 136           | -71%      |
| <b>Totals</b> | <b>54,145</b>  | <b>48,084</b> | <b>-11%</b> | <b>16,040</b>       | <b>17,213</b> | <b>7%</b> | <b>5,329</b>              | <b>6,605</b> | <b>24%</b> | <b>3,328</b>    | <b>4,210</b> | <b>27%</b> | <b>-3,803</b> | <b>-2,883</b> | <b>-24%</b> | <b>75,501</b>    | <b>76,112</b> | <b>1%</b> |

**Figure 1: Membership for the year ended 31 December 2015**



## **2.0 Contributions**

Active fund members contributed \$16million or 20% of the global figure (December 2014: \$32million or 26%) whilst employers contributed \$31million or 38 % ( December 2014: \$62 million or 51 %).

For the year ended 31 December 2015, contribution arrears constituted \$35million or 43% of total contributions (December 2014: 23% or \$29million). The Commission closely monitors the challenge of arrear contributions on quarterly basis and payment plans are encouraged to clear the arrears. See Table 3 and Figure 2 below for a summary of the above figures.

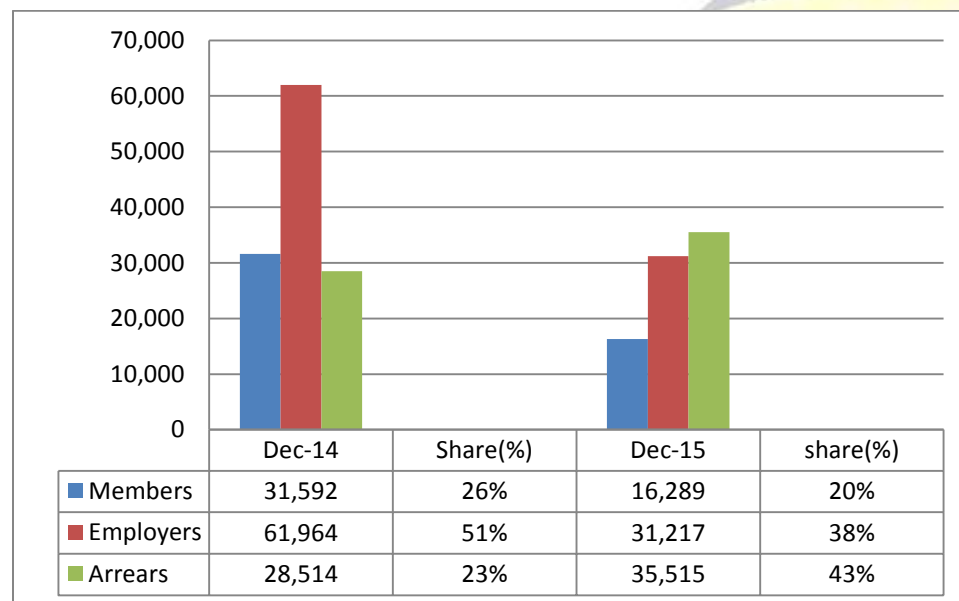


**Table 3: Contributions Statistics for Self-Administered Funds for the year ended 31 December 2015**

| Fund Name | Contributions(000) |        |        |           |        |        | Arrear Contributions(000) |        |        |           |        |        | Total Contributions(000) |        |        |
|-----------|--------------------|--------|--------|-----------|--------|--------|---------------------------|--------|--------|-----------|--------|--------|--------------------------|--------|--------|
|           | Members            |        |        | Employers |        |        | Members                   |        |        | Employers |        |        |                          |        |        |
|           | Dec-14             | Dec-15 | Growth | Dec 14    | Dec 15 | Growth | Dec-14                    | Dec-15 | Growth | Dec-14    | Dec-15 | Growth | Dec-14                   | Dec-15 | Growth |
| Minerva   | 16,316             | 7,559  | -54%   | 26,560    | 14,444 | -46%   | 2,907                     | 3,741  | 29%    | 5,277     | 3,742  | 29%    | 51,060                   | 29,486 | -43%   |
| Comarton  | 3,144              | 2,562  | -19%   | 10,248    | 5,649  | -45%   | 643                       | 397    | -38%   | 10,248    | 17,058 | 66%    | 24,283                   | 25,666 | 6%     |
| Marsh     | 12,052             | 6,103  | -49%   | 24,976    | 11,001 | -56%   | 0                         | 0      | 0%     | 9,439     | 10,024 | 6%     | 46467                    | 27,128 | -42%   |
| ZIB       | 80                 | 65     | -19%   | 180       | 123    | -32%   | 0                         | 65     | 0%     | 0         | 488    | -      | 260                      | 676    | 160%   |
| Total     | 31,592             | 16,289 | -48%   | 61,964    | 31,217 | -50%   | 3,550                     | 4,203  | 18%    | 24,964    | 31,312 | 25%    | 122,070                  | 83,021 | -32%   |

- Means no comparison

**Figure 2: Contributions Composition for funds administered by Employee Benefits Companies For the year ended 31 December 2015**



#### **4.0 Income and Expenditure**

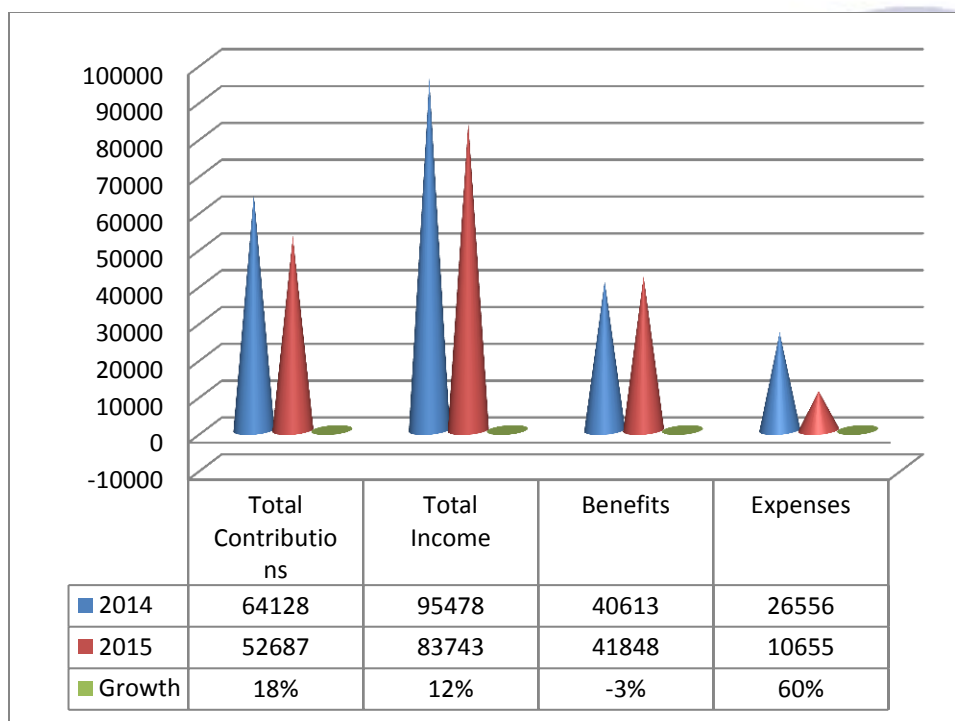
For the year under review, total contributions and total income received by fund administrators totalled \$53million and \$84 million respectively against expenses of \$11million .This resulted in cost to contribution and expense to total income ratio of 20% and 13% respectively.

Benefits paid were in the sum of \$42million which was almost three times higher than the cost bill .The Commission will continue to monitor expense ratios in a bid to enhance member benefits (See Table 4 and Figure 3 below).

**Table 4: Income and Expenditure for Self-Administered Funds for the year ended 31 December 2015**

| Administrator | Total Contributions(Excl arrears)000 |               |             | Total Income (000) |               |             | Total Paid Benefits(000) |               |           | Expenses(000) |               |             | (Expenses/Contributions)% |            |            | (Expenses/Total Income)% |            |            |
|---------------|--------------------------------------|---------------|-------------|--------------------|---------------|-------------|--------------------------|---------------|-----------|---------------|---------------|-------------|---------------------------|------------|------------|--------------------------|------------|------------|
|               | Dec-14                               | Dec-15        | Growth      | Dec-14             | Dec-15        | Growth      | Dec-14                   | Dec-15        | Growth    | Dec-14        | Dec-15        | Growth      | Dec-14                    | Dec-15     | Growth     | Dec-14                   | Dec-15     | Growth     |
| Minerva       | 10,242                               | 22,003        | 115%        | 16,185             | 36,963        | 128%        | 4,611                    | 21,106        | 358%      | 5,148         | 5,264         | 2%          | 50%                       | 24%        | (26%)      | 32%                      | 14%        | (18%)      |
| Comarton      | 28,651                               | 13,392        | -53%        | 42,690             | 18,979        | -56%        | 18,545                   | 5,126         | -72%      | 11,397        | 4,419         | -61%        | 40%                       | 33%        | 7%         | 27%                      | 23%        | 4%         |
| Marsh         | 24,976                               | 17,104        | -32%        | 36,326             | 27,594        | -24%        | 17,424                   | 15,603        | -10%      | 9,951         | 959           | -90%        | 40%                       | 6%         | -34%       | 27%                      | 3%         | -24%       |
| ZIB           | 259                                  | 188           | -27%        | 277                | 207           | -25%        | 33                       | 13            | -61%      | 60            | 13            | -78%        | 23                        | 7%         | 16%        | 22%                      | 6%         | 17%        |
| <b>Totals</b> | <b>64,128</b>                        | <b>52,687</b> | <b>-18%</b> | <b>95,478</b>      | <b>83,743</b> | <b>-12%</b> | <b>40,613</b>            | <b>41,848</b> | <b>3%</b> | <b>26,556</b> | <b>10,655</b> | <b>-60%</b> | <b>43%</b>                | <b>20%</b> | <b>23%</b> | <b>41%</b>               | <b>13%</b> | <b>28%</b> |

**Figure 3: Income and Expenditure \$ (000)**



## 5.0 Fund Assets

For the current review period, fund administrators held 13% or \$58million in properties (December 2014: 15% or \$70million), 53% or \$267million in the capital market (December 2014: 46% or \$222million), money market- 8% or \$42million (December 2014: 14% or \$66million) and the balance of 24% and 4% in other assets and prescribed assets respectively. (See Table 5 and Figure 4, below).

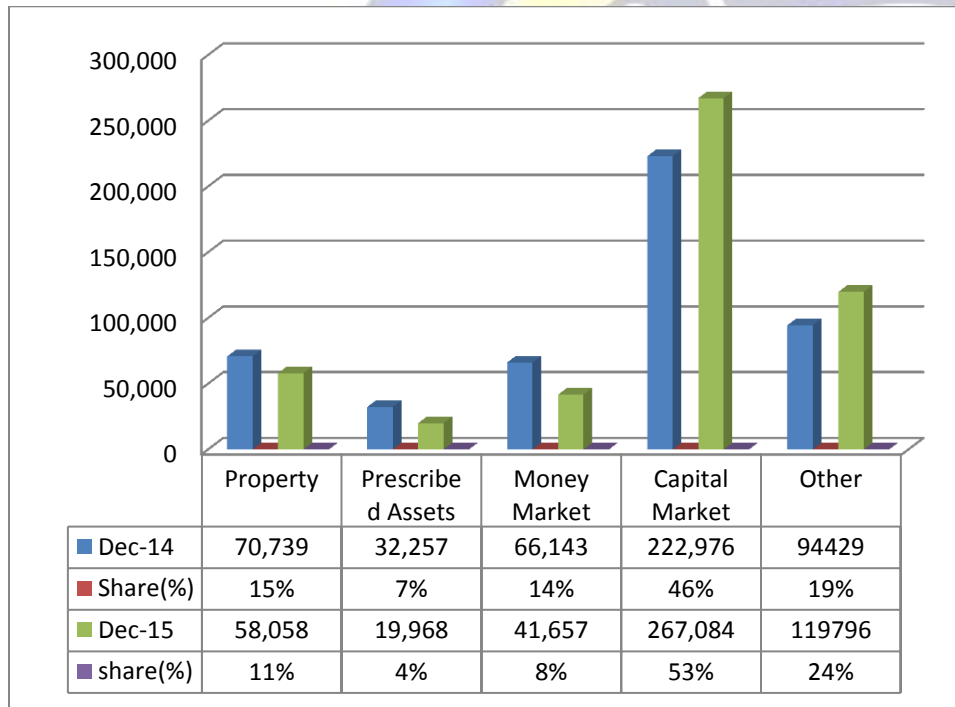
**Table 5: Fund Asset Statistics at Market Value for Self-Administered Funds as at 31 December 2015**

| Fund Name | Immovable Property(000) |        |        | Prescribed Assets(000) |        |        | Money Market Securities(000) |        |        | Capital Market Securities(000) |         |        | Other(000) |        |        | Total(000) |         |        |
|-----------|-------------------------|--------|--------|------------------------|--------|--------|------------------------------|--------|--------|--------------------------------|---------|--------|------------|--------|--------|------------|---------|--------|
|           | Dec-14                  | Dec-15 | Growth | Dec-14                 | Dec-15 | Growth | Dec-14                       | Dec-15 | Growth | Dec-14                         | Dec-15  | Growth | Dec-14     | Dec-15 | Growth | Dec-14     | Dec-15  | Growth |
| Minerva   | 25,019                  | 11,854 | -53%   | 16,269                 | 0      | -100%  | 48,341                       | 11,110 | -77%   | 124,475                        | 138,396 | 11%    | 40,128     | 41,473 | 3%     | 254,232    | 202,833 | -20%   |
| Comarton  | 42,264                  | 0      | -100%  | 10,619                 | 8,102  | -24%   | 17,802                       | 21,848 | 23%    | 66,630                         | 59,745  | -10%   | 21,307     | -      | -100%  | 158,622    | 89,695  | -43%   |
| Marsh     | 3,456                   | 46,204 | 1237%  | 5,335                  | 11,866 | 122%   | 0                            | 17,297 | 0%     | 31,598                         | 68,836  | 118%   | 32,567     | 23,158 | -29%   | 72,596     | 167,361 | 131%   |

|        |        |        |      |        |        |       |        |        |      |         |         |      |        |         |      |         |         |      |
|--------|--------|--------|------|--------|--------|-------|--------|--------|------|---------|---------|------|--------|---------|------|---------|---------|------|
| ZIB    | 0      | 0      | 0%   | 34     | 0      | -100% | 0      | 29     | 0%   | 273     | 107     | -61% | 427    | 488     | 14%  | 734     | 624     | -15% |
| Totals | 70,739 | 58,058 | -18% | 32,257 | 19,968 | -38%  | 66,143 | 50,284 | -24% | 222,976 | 267,084 | 20%  | 94,429 | 119,796 | -31% | 486,184 | 460,513 | -5%  |

- Means no comparison

**Figure 4: Fund Assets (000)**



## 5.0 Prescribed Assets

The industry's compliance level on statutory paper was 5%. Players are required to participate by investing in prescribed assets as availability of prescribed instruments improves to avoid statutory penalties.



### Available Instruments

| Issuer                                       | Application Year | Purpose of Issue                                           | Bond Amnt and coupon rate                                | Amount raised                                                                                                                                                                                    | Uptake Ratio | Current status |
|----------------------------------------------|------------------|------------------------------------------------------------|----------------------------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--------------|----------------|
| Afreximbank                                  | 2015             |                                                            | \$100million                                             | Approved on 08 Jan 2015. No update on amount raised and uptake ratios                                                                                                                            |              |                |
| Old Mutual                                   |                  | Finance Budiriro Housing Project                           | \$62.8million at a coupon rate... and tenure of 10 years |                                                                                                                                                                                                  |              |                |
| ZPC KSPS                                     | 2014             | To support the energy sector                               | \$50million at 8%                                        | \$25.05 million raised to date                                                                                                                                                                   | 50%          | Open           |
| Agribank and FBC                             | 2015             | Support the 2015/2016 agricultural season                  | \$10million at a coupon rate of 10%p.a                   | Initial application of US\$10million approved on the 09 <sup>th</sup> of September 2015. Second application of \$10million approved on the 06 November 2015. The total amount is now \$20million |              | Open           |
| Agricultural Marketing Authority (AMA Bills) | 2015             | Finance the purchase of grain by the Grain Marketing Board | \$50million at a coupon rate of 10.5%p.a                 | Application approved on the 11 <sup>th</sup> of Sep 2015                                                                                                                                         |              | Open           |
| ZB Agro Bills                                | 2015             | Support the 2015/2016 agricultural season                  | \$5million at 8%p.a coupon rate                          | Application approved on the 30 <sup>th</sup> of Sep 2015.                                                                                                                                        |              | Open           |
| Homelink                                     | 2015             | Development of stands and                                  | Initial bond amount of \$15m. However the                | Application approved                                                                                                                                                                             |              | Open           |

|  |  |                               |                                                                      |  |  |  |
|--|--|-------------------------------|----------------------------------------------------------------------|--|--|--|
|  |  | construction of housing units | applicant is targeting to raise \$50million to complete the project. |  |  |  |
|--|--|-------------------------------|----------------------------------------------------------------------|--|--|--|

## 6.0 Circulars and Statutory Instruments and Bond Instruments

No circulars were issued or approved during the quarter under review.

### Conclusion

The report highlights the major challenges for the industry as arrear contributions, high expense ratios not matched either by favorable investment returns or equivalent contribution rates, low benefits among others. In light of these challenges, pension funds should always seek to meet fund objectives particularly pre-agreed income replacement ratios through better investment decisions and adhering to good corporate governance practices. Pension funds are also encouraged to have clear and transparent service level agreements with their service providers which are not prejudicial to the Fund members.

